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26 | **► ON APRIL 22**, when Indonesian President Joko Widodo announced a decision to stop exporting palm oil derivatives, it sent the world of crude edible oil and derivatives into a tizzy, with prices of crude palm oil surging 10 per cent within days. Indonesia, after all, is the world's largest producer and exporter of crude palm oil and various derivatives, exporting 2.2 million tonnes every month. Malaysia, which exports 1.5 million tonnes per month, is second. Widodo was unclear on whether the ban would cover all palm derivatives, so edible oil makers in India were hoping for a partial ban. But their hopes were dashed on April 27. Jakarta put a blanket ban on exports of crude palm oil, refined palm oil, refined, bleached and deodorised palmolein, palm oil mill effluent, and used cooking oil.

According to Sudhakar Desai, CEO of Emami Agrotech and

President of Indian Vegetable Oil Producer's Association (IVPA), out of the 1.1 million tonnes of crude edible oil imported by India per month, some 700,000 tonnes is palm oil, 300,000 tonnes is soya, and the rest is crude sunflower oil. "Most of the shortage due to the ban by Indonesia is being met by imports from Malaysia now," he says.

Even before Widodo's announcement, the edible oil market had been on fire. While long-term factors like use of palm oil in bio-fuel by Indonesia and Malaysia are impacting supplies, short-term factors like stagnating yield of palm oil in the two countries and soya oil in Argentina have added to the woes. The war in Ukraine has further aggravated the situation as the region supplies 90 per cent of the sunflower oil demand for India—adding fuel to the surging prices of alternate oils like soya.

The Bright Side

Edible oil prices are shooting up, but industry veterans say prices may have peaked, signalling some respite for household budgets

BY ARNAB DUTTA

Now, here's some cheer. As prices have already surged significantly since the pandemic—by 40-60 per cent depending on the type of oil—industry veterans like Angshu Mallick, CEO of Adani Wilmar, feel prices may have peaked. "Post the Ramadan holidays, prices may start coming down because we have adequate supply to meet domestic demand for now," he says. Like Desai, Mallick is also hopeful that the ban on exports may not last beyond mid-May as Indonesia is a surplus country and a prolonged export ban could hurt its finances. In fact, on May 5—the first day after the Ramadan holidays when palm oil trading resumed in the international market—rates fell by 3 per cent due to lack of demand as most importers had stocked up in anticipation of a shortage. **BT**

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OUT OF THE 1.1 MT OF CRUDE EDIBLE OIL THAT INDIA IMPORTS EVERY MONTH, PALM IS 0.7 MT, SOYA IS 0.3 MT AND THE REST IS SUNFLOWER